J.P.Morgan

Asia Pacific Equity Research
28 July 2026

Lenovo Group Limited (0992)

ISG upside outweighs PC uncertainty; u/g to OW

▲ **Overweight**
Previous: Neutral

0992.HK, 992 HK

Price (27 Jul 26): HK$24.32

▲ **Price Target (Jun-27): HK$30.00**
Prior (Mar-27): HK$20.00

China

Technology - Hardware

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We are upgrading Lenovo to OW with a Jun-27 PT of HK$30 (based on 16x 12-month forward diluted EPS), driven by strong server profitability improvement, better-than-feared IDG price elasticity, and consolidation tailwinds amid tight component supply. Lenovo stock is up 85% (vs. the HSI index at flat) following a solid Mar-quarter print on May 21. We expect a constructive share-price reaction into the Jun-quarter results, with upside primarily driven by the server segments. Our industry research suggests Lenovo is seeing fast-growing AI-related client traction and healthy server profitability supported by favorable pricing. As a result, we expect further ISG margin expansion over the coming quarters on operating leverage. While PC earnings visibility remains uncertain, we believe Lenovo should outperform PC peers given its industry leadership and scale advantages. Key downside risks include a potential slowdown in AI capex investment in 2027 and a larger-than-expected margin headwind from rising component costs.

- **AI breakthrough + general server strength driving a favorable pricing setup**. Despite rising component costs, server OEMs have been enjoying favorable pricing and margins, supported by inference-driven supply tightness across both GPU and traditional servers. We believe Lenovo has navigated component constraints better than peers, helped by a more diversified supplier base (including Chinese suppliers) and business model (ODM + brand). Our industry research suggests Lenovo's AI-related revenue reached 30%+ of ISG revenue in the Jun-quarter and should sustain momentum into 2HCY26. We model ~60% YoY ISG revenue growth and 5% ISG OPM in FY27 (vs. 0.4% in FY26).
- **Mixed IDG outlook, but margin resilience looks better than feared.** We keep our IDG revenue and margin assumptions unchanged despite larger-than-expected component price increases over the past three months. We expect Lenovo to sustain an IDG quarterly operating profit run-rate of ~US$1.0–1.1bn. Lenovo is likely to continue outperforming PC peers on scale advantages, tight cost control, mix management, and supply-chain execution. We model 10%/4% YoY IDG revenue growth and 6.9%/6.8% IDG OPM in CY2026/27E, respectively.
- **Why upgrade now?** We previously held a more Neutral stance on Lenovo given PC earnings downside risk. However, we believe server strength is now more than offsetting consumer electronics softness. As Lenovo steps up its position in the AI server supply chain with the GB300 launch, we expect it to ride neocloud demand over the coming years. Improving mix should support further re-rating and sustained stock outperformance vs. peers. Besides, the moderating memory price increase in the next one year could partially mitigate margin risks from higher component costs.

Key Changes (FYE Mar)

	Prev	Cur	Δ
Adj. net income - 27E ($ mn)	2,289	2,787	21.8%
Adj. net income - 28E ($ mn)	2,605	3,353	28.7%

Quarterly Forecasts (FYE Mar)

Adj. net income ($ mn)

	2026A	2027E	2028E
Q1	389	663	753
Q2	512	720	873
Q3	589	747	944
Q4	559	657	783
FY	2,049	2,787	3,353

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top) 6M	1Y	3Y	5Y
Value	19	6	9	12	12
Growth	60	79	79	82	89
Momentum	1	86	72	27	29
Quality	24	29	29	22	26
Low Vol	87	69	76	46	49
ESGQ	9	13	6	1	1

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 10 for analyst certification and important disclosures, including non-US analyst disclosures.

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Price Performance

	YTD	1m	3m	12m
Abs	162.6%	3.8%	100.7%	133.0%
Rel	174.1%	-2.8%	108.2%	142.4%

Company Data

Shares O/S (mn)	12,405
52-week range (HK$)	27.42-8.52
Market cap ($ mn)	38,467
Exchange rate	7.84
Free float (%)	56.9%
3M ADV (mn)	169.24
3M ADV ($ mn)	445.2
Volatility (90 Day)	78
Index	MXCNX
BBG ANR (Buy | Hold | Sell)	32|4|0

Key Metrics (FYE Mar)

$ in millions	FY26A	FY27E	FY28E
Financial Estimates			
Revenue	83,075	97,873	112,556
Adj. EBIT	3,124	4,257	4,966
Adj. EBITDA	4,562	5,633	6,342
Adj. net income	2,049	2,787	3,353
Adj. EPS	0.17	0.22	0.27
BBG EPS	0.13	0.19	0.25
Cashflow from operations	3,844	5,143	5,582
FCFF	2,704	4,353	4,929
Margins and Growth			
Revenue Growth Y/Y (%)	20.3%	17.8%	15.0%
EBIT margin	3.8%	4.3%	4.4%
EBIT Growth Y/Y (%)	27.4%	36.3%	16.7%
EBITDA margin	5.5%	5.8%	5.6%
EBITDA Growth Y/Y (%)	31.6%	23.5%	12.6%
Net margin	2.5%	2.8%	3.0%
Adj. EPS growth	41.8%	36.0%	20.3%
Ratios			
Adj. tax rate	19.3%	17.8%	19.2%
Interest cover	7.9	8.3	10.2
Net debt/Equity	NM	NM	NM
Net debt/EBITDA	NM	NM	NM
ROE	27.1%	29.4%	28.5%
Valuation			
FCFF yield	7.0%	11.3%	12.8%
Dividend yield	1.7%	1.9%	2.1%
EV/Revenue	0.5	0.4	0.3
EV/EBITDA	8.4	6.3	5.1
Adj. P/E	18.8	13.8	11.5

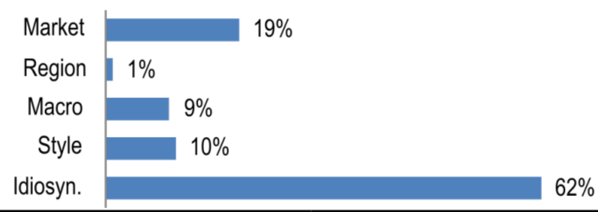
Summary Investment Thesis and Valuation

Our industry research suggests Lenovo is seeing fast-growing AI-related client traction and healthy server profitability supported by favorable pricing. As a result, we expect further ISG margin expansion over the coming quarters on operating leverage. While PC earnings visibility remains uncertain, we believe Lenovo should outperform PC peers given its industry leadership and scale advantages. OW.

Valuation

Our Jun-27 PT of HK$30 is based on 16x 12-month-forward non-HKFRS diluted EPS (higher than our previous 14x), above the mid-cycle valuation driven by strong server profitability improvement, better-than-feared IDG price elasticity, and consolidation tailwinds amid tight component supply.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.38	0.44
Region: China	-0.15	-0.05
Macro:		
Citi Economic Surprise - EM	-0.32	-0.23
Generic 1st 'CO' Future	-0.15	-0.21
HSI Volatility Index	-0.10	-0.12
Quant Styles:		
Growth	0.29	0.29
Size	0.32	0.23
Momentum	0.07	0.15

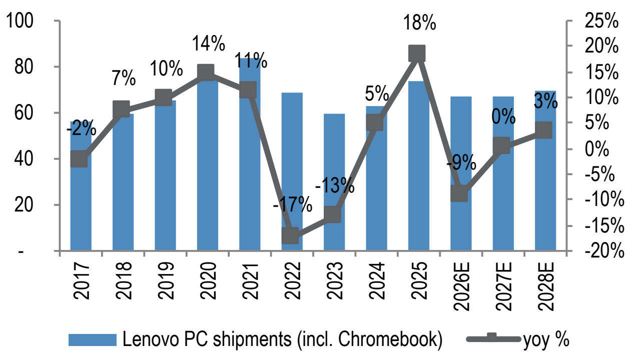
Source: J.P. Morgan Global Markets Strategy for Performance Drivers; company data, Bloomberg Finance L.P. and J.P. Morgan estimates for all other tables. Note: Price history may not be complete or exact.

Mixed IDG outlook, but margin resilience looks better than feared

Lenovo's PC shipments were up 3% YoY in 1HCY26 (vs. industry PC shipments at up +1% YoY), according to Gartner® data, driven by better-than-expected PC demand and m/s gains on better supply chain execution. Looking ahead, we expect a flattish 2HCY26 PC outlook (i.e. a 50%/50% 1H/2H PC shipment split vs. traditional seasonality of 45%/55%). We attribute the sub-seasonal trend to PC end-demand weakness due to memory-led negative price elasticity and fading Win-10 replacement demand.

Figure 1: Lenovo PC shipments and YoY

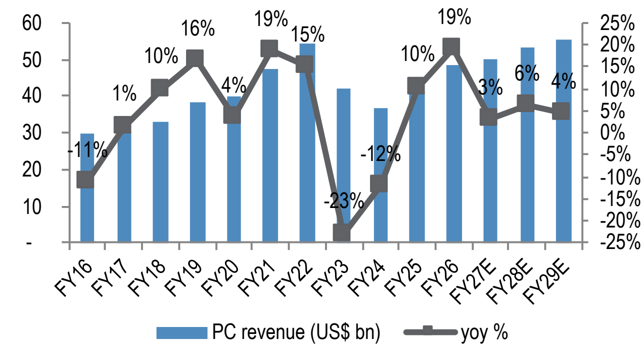
mn units, %



Source: Gartner® quarterly PC tracker, J.P. Morgan estimates.

Figure 2: Lenovo's PC Revenue and YoY

US$ in billions, %

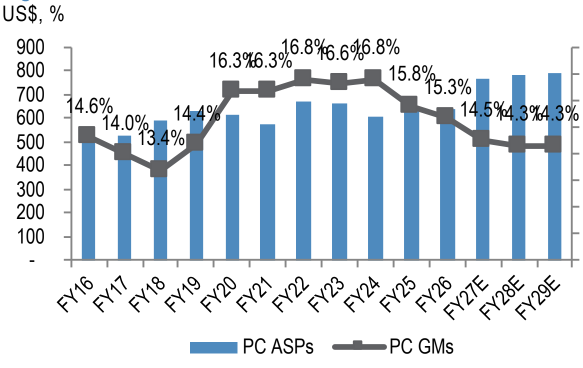


Source: J.P. Morgan estimates, Company reports FY16-FY26.

On PC margins, Lenovo delivered a resilient PC OPM in Mar-Q at 7.6% (flattish QoQ). Our research indicates that Lenovo's PC margin could remain resilient in Jun-Q and outperform PC peers in the next few quarters, supported by scale benefits, supply chain excellence, and mix management.

Figure 3: Lenovo PC ASP and GM

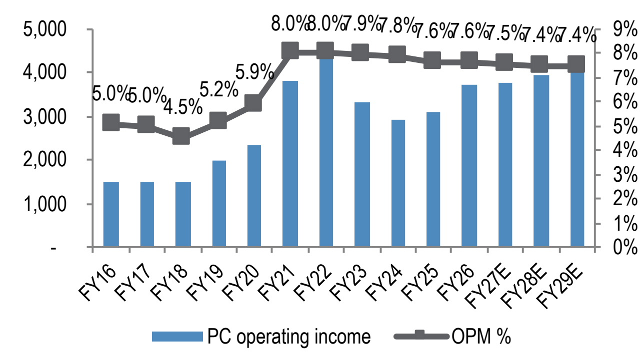
US$, %



Source: J.P. Morgan estimates for both historical and forecast data.

Figure 4: Lenovo's PC operating income and OPM

US$ in millions, %



Source: J.P. Morgan estimates, Company reports FY16-FY26.

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Overall, we model 3% IDG revenue growth in FY27, as PC ASP expansion should more than offset the unit declines. We expect PC margins to decline to 6.8% in FY27 vs. 7.2% in FY26, mainly due to memory cost hikes.

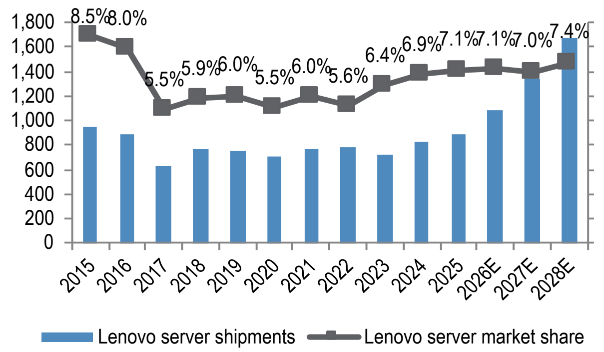
AI breakthrough + general server strength driving a favorable pricing setup

We expect accelerating server shipment growth for Lenovo in FY27 (JPMe 23% YoY growth vs. +13% in FY26), driven by strong MSFT traditional server demand, better-than-expected enterprise server demand, and m/s gain in AI servers.

Our research indicates that Lenovo has started GB300 shipments to neocloud customers in late Mar-Q to early Jun-Q, and AI servers could reach ~30% of Lenovo's total ISG revenue in Jun-Q. More importantly, Lenovo's AI server order pipelines have reached US$21bn+ in Mar-Q and are likely to see continued increase given the strong AI demand, which could help sustain the server revenue momentum in the next few quarters.

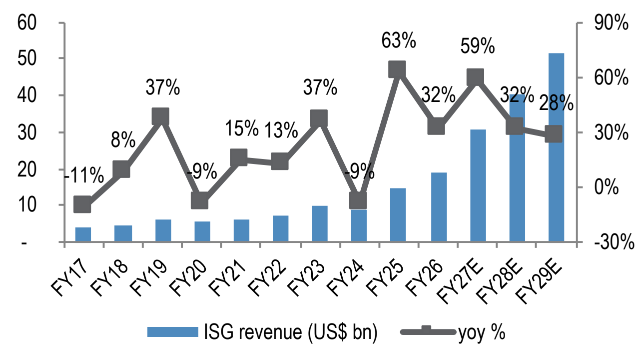
Overall, we forecast ~60% ISG revenue growth in FY27, driven by strong server demand, AI server breakthrough, and pricing actions in general servers.

Figure 5: Lenovo server shipments and market share
k units, %



Source: Gartner® quarterly server tracker, J.P. Morgan estimates.

Figure 6: Lenovo's ISG Revenue and YoY
US$ in billions, %



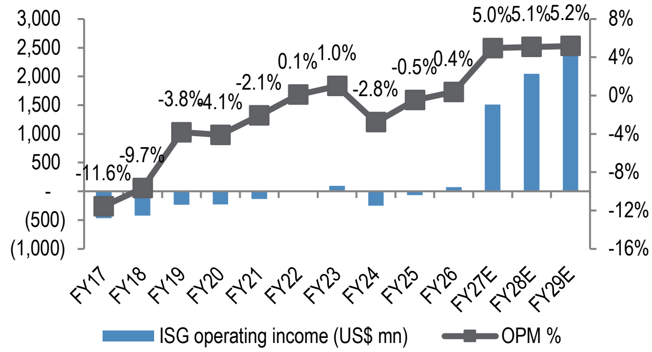
Source: J.P. Morgan estimates, Company reports FY17-FY26.

Server OEMs such as Lenovo have enjoyed a favorable pricing dynamics across AI and traditional servers amid strong AI demand and supply constraints. This could more than offset the negative impact from memory component price hikes, in our view. In addition, we believe Lenovo will navigate through this super memory cycle better than peers due to its diversified supplier base (including Chinese suppliers) and scale benefits levered from its PC biz.

Overall, we expect a significant OPM improvement for Lenovo's ISG biz to 5% in FY27 from 0.4% in FY26, driven by favorable pricing dynamics and positive OP leverage. Beyond FY27, we anticipate a sustained ISG growth momentum on the AI-driven multi-year server cycle with continued margin improvement on better scale.

Figure 7: Lenovo's ISG operating income and OPM trend

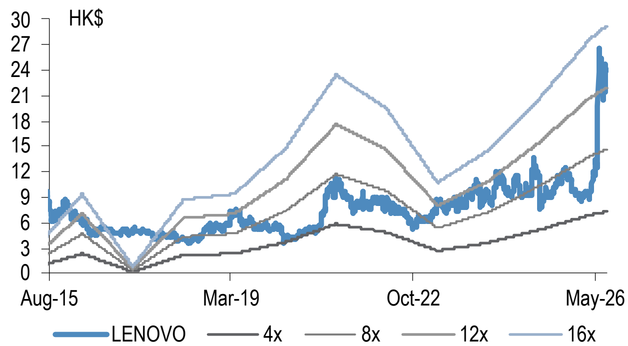
$ in millions, %



Source: J.P. Morgan estimates, Company reports FY17-FY26.

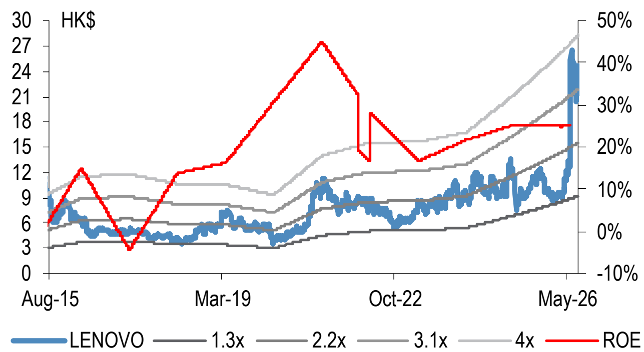
PE/PB 12m fwd bands

Figure 8: One-year forward P/E band



Source: J.P. Morgan calculations, Bloomberg Finance L.P. estimates as of close of July 27, 2026. Based on non HKFRS 12M fwd EPS.

Figure 9: One-year forward P/B band



Source: J.P. Morgan calculations, Bloomberg Finance L.P. estimates as of close of July 27, 2026.

Table 1: Lenovo earnings revision

	Revised			Prior			Change (%)		
US$ million, YE Mar	FY27E	FY28E	FY29E	FY27E	FY28E	FY29E	FY27E	FY28E	FY29E
Sales	97,873	112,556	128,139	93,878	104,502	N.A	4%	8%	N.A
Gross profit	15,093	16,811	18,885	14,190	15,234	N.A	6%	10%	N.A
Non-HKFRS Operating profit	4,257	4,966	5,881	3,687	4,035	N.A	15%	23%	N.A
Non-HKFRS Pretax profit	3,701	4,463	5,436	3,132	3,528	N.A	18%	27%	N.A
Non-HKFRS Net Income	2,787	3,353	4,132	2,289	2,605	N.A	22%	29%	N.A
Non-HKFRS diluted EPS (US$)	0.19	0.23	0.28	0.16	0.18	N.A	22%	29%	N.A
Gross Margin	*15.4%*	*14.9%*	*14.7%*	*15.1%*	*14.6%*	*N.A*	*31bps*	*36bps*	*N.A*
Operating Margin	*4.3%*	*4.4%*	*4.6%*	*3.9%*	*3.9%*	*N.A*	*42bps*	*55bps*	*N.A*
Net Margin	*2.8%*	*3.0%*	*3.2%*	*2.4%*	*2.5%*	*N.A*	*41bps*	*49bps*	*N.A*
OPEX Ratio	*11.1%*	*10.5%*	*10.1%*	*11.2%*	*10.7%*	*N.A*	*-12bps*	*-19bps*	*N.A*
Segment Revenue									
PCSD	50,094	53,194	55,484	49,960	53,042	N.A	0%	0%	N.A
MBG	10,889	11,314	11,906	10,889	11,344	N.A	0%	0%	N.A
ISG	30,517	40,362	51,642	26,436	31,988	N.A	15%	26%	N.A
SSG	11,795	13,860	16,135	11,795	13,860	N.A	0%	0%	N.A
Segment PTI									
PCSD	3,766	3,958	4,129	3,757	3,947	N.A	0%	0%	N.A
MBG	410	442	462	410	443	N.A	0%	0%	N.A
ISG	1,512	2,049	2,673	823	824	N.A	84%	149%	N.A
SSG	2,462	2,755	3,207	2,462	2,755	N.A	0%	0%	N.A

Source: J.P. Morgan estimates.

Table 2: Lenovo: J.P. Morgan vs Bloomberg Consensus Estimates

	JPMe				Consensus				Difference (%)			
US$ million, YE Mar	1QFY27E	2QFY27E	FY27E	FY28E	1QFY27E	2QFY27E	FY27E	FY28E	1QFY27E	2QFY27E	FY27E	FY28E
Sales	23,270	25,165	97,873	112,556	22,258	23,744	94,069	105,239	5%	6%	4%	7%
Gross profit	3,650	3,845	15,093	16,811	3,522	3,687	14,664	16,367	4%	4%	3%	3%
Operating profit	969	1,094	4,189	4,898	634	964	3,915	4,881	53%	13%	7%	0%
Pretax profit	578	920	3,295	4,275	609	609	3,231	4,249	-5%	51%	2%	1%
Net Income	403	676	2,396	3,180	432	432	2,485	3,127	-7%	57%	-4%	2%
Gross Margin	*15.7%*	*15.3%*	*15.4%*	*14.9%*	*15.8%*	*15.5%*	*15.6%*	*15.6%*	*-14bps*	*-25bps*	*-17bps*	*-62bps*
Operating Margin	*4.2%*	*4.3%*	*4.3%*	*4.4%*	*2.8%*	*4.1%*	*4.2%*	*4.6%*	*131bps*	*29bps*	*12bps*	*-29bps*
Net Margin	*1.7%*	*2.7%*	*2.4%*	*2.8%*	*1.9%*	*1.8%*	*2.6%*	*3.0%*	*-21bps*	*87bps*	*-19bps*	*-15bps*
OPEX Ratio	*11.5%*	*10.9%*	*11.1%*	*10.6%*	*13.0%*	*11.5%*	*11.4%*	*10.9%*	*-145bps*	*-54bps*	*-29bps*	*-33bps*

Source: J.P. Morgan estimates, Bloomberg Finance L.P. estimates as of close of July 27, 2026. Numbers are based on HK-IFRS.

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Table 3: Lenovo quarterly earnings table

US$ in mns, YE March	FY26				FY27E				FY28E				FY26	FY27E	FY28E	FY29E
	1Q	2Q	3Q	4Q	1QE	2QE	3QE	4QE	1QE	2QE	3QE	4QE				
Revenue	**18,830**	**20,452**	**22,204**	**21,588**	**23,270**	**25,165**	**25,796**	**23,641**	**26,299**	**28,956**	**30,148**	**27,153**	**83,075**	**97,873**	**112,556**	**128,139**
COGS	(16,055)	(17,305)	(18,855)	(18,049)	(19,620)	(21,320)	(21,893)	(19,947)	(22,308)	(24,681)	(25,734)	(23,022)	(70,265)	(82,780)	(95,745)	(109,254)
Gross Profit	**2,774**	**3,147**	**3,349**	**3,539**	**3,650**	**3,845**	**3,904**	**3,694**	**3,990**	**4,275**	**4,414**	**4,131**	**12,809**	**15,093**	**16,811**	**18,885**
Operating Expense	(1,990)	(2,504)	(2,401)	(2,654)	(2,682)	(2,751)	(2,780)	(2,691)	(2,870)	(3,004)	(3,057)	(2,983)	(9,548)	(10,904)	(11,913)	(13,072)
EBIT (non GAAP)	**631**	**756**	**903**	**834**	**986**	**1,111**	**1,141**	**1,020**	**1,138**	**1,288**	**1,375**	**1,165**	**3,124**	**4,257**	**4,966**	**5,881**
Net Interest Income	(159)	(143)	(130)	(145)	(173)	(173)	(169)	(161)	(159)	(160)	(157)	(148)	(577)	(677)	(623)	(565)
Net Other Income	(4)	(5)	(1)	(5)	(217)	-	-	-	-	-	-	-	(15)	(217)	-	-
Pre Tax Profit (non GAAP)	**497**	**637**	**803**	**567**	**843**	**967**	**1,001**	**889**	**1,009**	**1,159**	**1,248**	**1,047**	**2,504**	**3,701**	**4,463**	**5,436**
Tax	(85)	(114)	(170)	(141)	(116)	(184)	(191)	(168)	(192)	(222)	(240)	(200)	(510)	(659)	(855)	(1,050)
Net Profit (non GAAP)	**389**	**512**	**589**	**559**	**663**	**720**	**747**	**657**	**753**	**873**	**944**	**783**	**2,049**	**2,787**	**3,353**	**4,132**
Reported EPS (non GAAP, US$)	**0.031**	**0.041**	**0.047**	**0.045**	**0.053**	**0.058**	**0.060**	**0.053**	**0.061**	**0.070**	**0.076**	**0.063**	**0.165**	**0.225**	**0.270**	**0.333**
Segment revenue																
PCSD	11,189	12,345	12,884	12,202	12,503	12,878	13,007	11,706	12,798	13,863	14,322	12,210	48,619	50,094	53,194	55,484
MBG	2,271	2,762	2,871	2,412	2,485	3,000	3,000	2,403	2,549	2,945	3,092	2,728	10,316	10,889	11,314	11,906
ISG	4,290	4,087	5,176	5,635	6,869	7,707	8,097	7,846	9,203	10,224	10,736	10,199	19,188	30,517	40,362	51,642
SSG	2,258	2,556	2,652	2,563	2,716	2,988	3,107	2,983	3,192	3,511	3,652	3,506	10,028	11,795	13,860	16,135
Segment PTI margins																
PCSD	7.5	7.6	7.7	7.6	7.6	7.4	7.3	7.8	7.6	7.3	7.3	7.6	7.6	7.5	7.4	7.4
MBG	4.8	6.0	5.5	3.5	3.2	4.5	4.5	2.5	2.8	4.5	4.6	3.5	5.0	3.8	3.9	3.9
ISG	(2.0)	(0.8)	(0.2)	3.6	4.8	5.0	5.0	5.0	5.1	5.0	5.2	5.0	0.4	5.0	5.1	5.2
SSG	22.2	22.3	22.5	22.4	21.0	21.0	21.0	20.5	20.0	20.0	20.0	19.5	22.3	20.9	19.9	19.9
Margins (%)																
Gross Margin	14.7	15.4	15.1	16.4	15.7	15.3	15.1	15.6	15.2	14.8	14.6	15.2	15.4	15.4	14.9	14.7
Operating Margin	3.4	3.7	4.1	3.9	4.2	4.4	4.4	4.3	4.3	4.4	4.6	4.3	3.8	4.3	4.4	4.6
Net Margin	2.1	2.5	2.7	2.6	2.9	2.9	2.9	2.8	2.9	3.0	3.1	2.9	2.5	2.8	3.0	3.2
Q/Q Growth (%)																
Revenue	11	9	9	-3	8	8	3	-8	11	10	4	-10				
Gross Profit	-0	13	6	6	3	5	2	-5	8	7	3	-6				
EBIT	31	20	19	-8	18	13	3	-11	12	13	7	-15				
Net Profit (non GAAP)	40	32	15	-5	19	8	4	-12	15	16	8	-17				
EPS (non GAAP)	40	32	15	-5	19	8	4	-12	15	16	8	-17				
Y/Y Growth (%)																
Revenue Growth	22	15	18	27	24	23	16	10	13	15	17	15	20	18	15	14
Gross Profit	8	13	13	27	32	22	17	4	9	11	13	12	15	18	11	12
EBIT (GAAP)	10	9	28	73	56	47	26	22	15	16	21	14	27	36	17	18
Net Profit (non GAAP)	22	25	37	101	71	41	27	18	14	21	26	19	43	36	20	23
EPS (non GAAP)	19	25	37	101	71	41	27	18	14	21	26	19	42	36	20	23

Source: J.P. Morgan estimates, Company data FY26.

Investment Thesis, Valuation and Risks

Lenovo Group Limited *(Overweight; Price Target: HK$30.00)*

Investment Thesis

Our industry research suggests Lenovo is seeing fast-growing AI-related client traction and healthy server profitability supported by favorable pricing. As a result, we expect further ISG margin expansion over the coming quarters on operating leverage. While PC earnings visibility remains uncertain, we believe Lenovo should outperform PC peers given its industry leadership and scale advantages. OW.

Valuation

Our Jun-27 PT of HK$30 is based on 16x 12-month-forward non-HKFRS diluted EPS (higher than our previous 14x), above the mid-cycle valuation driven by strong server profitability improvement, better-than-feared IDG price elasticity, and consolidation tailwinds amid tight component supply.

Risks to Rating and Price Target

Key downside risks include a potential slowdown in AI capex investment in 2027 and a larger-than-expected margin headwind from rising component costs.

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Lenovo Group Limited (0992): Summary of Financials

Income Statement - Annual	FY25A	FY26A	FY27E	FY28E	FY29E
Revenue	**69,077**	**83,075**	**97,873**	**112,556**	**-**
COGS	(57,979)	(70,265)	(82,780)	(95,745)	-
Gross profit	**11,098**	**12,809**	**15,093**	**16,811**	**-**
SG&A	(6,407)	(7,141)	(8,042)	(8,786)	-
Adj. EBITDA	**3,467**	**4,562**	**5,633**	**6,342**	**-**
D&A	(1,303)	(1,300)	(1,444)	(1,444)	-
Adj. EBIT	**2,453**	**3,124**	**4,257**	**4,966**	**-**
Net Interest	(663)	(577)	(677)	(623)	-
Adj. PBT	**1,811**	**2,645**	**3,701**	**4,463**	**-**
Tax	(19)	(510)	(659)	(855)	-
Minority Interest	(78)	(248)	(240)	(240)	-
Adj. Net Income	**1,437**	**2,049**	**2,787**	**3,353**	**-**
Reported EPS	0.11	0.15	0.19	0.26	-
Adj. EPS	**0.12**	**0.17**	**0.22**	**0.27**	**-**
DPS	**0.05**	**0.05**	**0.06**	**0.07**	**-**
Payout ratio	44.5%	34.9%	30.6%	25.4%	-
Shares outstanding	12,336	12,405	12,405	12,405	-

Income Statement - Quarterly	1Q27E	2Q27E	3Q27E	4Q27E
Revenue	**23,270**	**25,165**	**25,796**	**23,641**
COGS	(19,620)	(21,320)	(21,893)	(19,947)
Gross profit	**3,650**	**3,845**	**3,904**	**3,694**
SG&A	(1,984)	(2,036)	(2,057)	(1,964)
Adj. EBITDA	**1,330**	**1,455**	**1,485**	**1,364**
D&A	(361)	(361)	(361)	(361)
Adj. EBIT	**986**	**1,111**	**1,141**	**1,020**
Net Interest	(173)	(173)	(169)	(161)
Adj. PBT	**843**	**967**	**1,001**	**889**
Tax	(116)	(184)	(191)	(168)
Minority Interest	(60)	(60)	(60)	(60)
Adj. Net Income	**663**	**720**	**747**	**657**
Reported EPS	0.03	0.05	0.06	0.05
Adj. EPS	**0.05**	**0.06**	**0.06**	**0.05**
DPS	**-**	**-**	**-**	**-**
Payout ratio	-	-	-	-
Shares outstanding	12,405	12,405	12,405	12,405

Balance Sheet & Cash Flow Statement	FY25A	FY26A	FY27E	FY28E	FY29E
Cash and cash equivalents	4,817	4,984	7,874	11,050	-
Accounts receivable	10,507	14,503	15,545	17,854	-
Inventories	7,924	11,721	12,589	14,543	-
Other current assets	4,657	7,995	8,955	10,029	-
Current assets	**27,904**	**39,202**	**44,963**	**53,476**	**-**
PP&E	2,901	3,519	3,745	3,833	-
LT investments	1,780	2,297	2,297	2,297	-
Other non current assets	11,646	12,111	12,111	12,111	-
Total assets	**44,231**	**57,129**	**63,115**	**71,717**	**-**
Short term borrowings	1,030	878	878	878	-
Payables	11,979	19,237	20,620	23,821	-
Other short term liabilities	16,985	21,242	23,792	26,647	-
Current liabilities	**29,994**	**41,358**	**45,290**	**51,346**	**-**
Long-term debt	4,338	3,863	3,863	3,863	-
Other long term liabilities	3,239	3,465	3,465	3,465	-
Total liabilities	**37,571**	**48,685**	**52,618**	**58,674**	**-**
Shareholders' equity	6,660	8,444	10,497	13,043	-
Minority interests	0	0	0	0	-
Total liabilities & equity	**44,231**	**57,129**	**63,115**	**71,717**	**-**
BVPS	**0.54**	**0.68**	**0.85**	**1.05**	**-**
y/y Growth	*7.1%*	*26.8%*	*24.3%*	*24.3%*	-
Net debt/(cash)	551	(242)	(3,133)	(6,308)	-
Cash flow from operating activities	**1,695**	**3,844**	**5,143**	**5,582**	**-**
o/w Depreciation & amortization	1,303	1,300	1,444	1,444	-
o/w Changes in working capital	(1,071)	384	1,063	718	-
Cash flow from investing activities	**(1,566)**	**(2,900)**	**(1,670)**	**(1,533)**	**-**
o/w Capital expenditure	(436)	(1,140)	(790)	(653)	-
as % of sales	*0.6%*	*1.4%*	*0.8%*	*0.6%*	-
Cash flow from financing activities	**1,063**	**(777)**	**(583)**	**(874)**	**-**
o/w Dividends paid	(696)	(915)	(974)	(1,047)	-
o/w Net debt issued/(repaid)	1,748	(627)	0	0	-
Net change in cash	**1,191**	**167**	**2,890**	**3,176**	**-**
Adj. Free cash flow to firm	**1,259**	**2,704**	**4,353**	**4,929**	**-**
y/y Growth	*(39.0%)*	*114.8%*	*61.0%*	*13.2%*	-

Ratio Analysis	FY25A	FY26A	FY27E	FY28E	FY29E
Gross margin	16.1%	15.4%	15.4%	14.9%	-
EBITDA margin	5.0%	5.5%	5.8%	5.6%	-
EBIT margin	3.6%	3.8%	4.3%	4.4%	-
Net profit margin	2.1%	2.5%	2.8%	3.0%	-
ROE	22.6%	27.1%	29.4%	28.5%	-
ROA	3.5%	4.0%	4.6%	5.0%	-
ROCE	22.3%	20.0%	24.6%	24.3%	-
SG&A/Sales	9.3%	8.6%	8.2%	7.8%	-
Net debt/equity	8.3%	NM	NM	NM	-
P/E (x)	26.6	18.8	13.8	11.5	-
P/BV (x)	5.8	4.6	3.7	2.9	-
EV/EBITDA (x)	11.3	8.4	6.3	5.1	-
Dividend Yield	1.6%	1.7%	1.9%	2.1%	-
Sales/Assets (x)	1.7	1.6	1.6	1.7	-
Interest cover (x)	5.2	7.9	8.3	10.2	-
Operating leverage	101.8%	135.0%	203.6%	111.0%	-
Revenue y/y Growth	21.5%	20.3%	17.8%	15.0%	-
EBITDA y/y Growth	6.1%	31.6%	23.5%	12.6%	-
Tax rate	1.0%	19.3%	17.8%	19.2%	-
Adj. Net Income y/y Growth	37.7%	42.6%	36.0%	20.3%	-
EPS y/y Growth	35.4%	41.8%	36.0%	20.3%	-
DPS y/y Growth	0.7%	7.8%	10.0%	10.0%	-

Source: Company reports and J.P. Morgan estimates.
Note: $ in millions (except per-share data).Fiscal year ends Mar. o/w - out of which

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Lenovo Group Limited (0992) (0992.HK, 992 HK) Price Chart

Date	Rating	Price (HK$)	Price Target (HK$)
17-Nov-23	OW	9.52	10.3
23-Feb-24	OW	8.84	10
24-May-24	OW	11.32	13
16-Aug-24	OW	10.02	12
07-Feb-25	OW	11.50	14
23-May-25	OW	9.57	13
21-Nov-25	N	9.72	9.5
25-May-26	N	15.75	16.8
26-Jun-26	N	23.98	20

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Apr 18, 2000. All share prices are as of market close on the previous business day.

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